



[Weekly Market Commentary](#)

Dear clients,

BTC performance has been sluggish since spot bitcoin ETFs were launched in the US, despite seeing \$824M in net inflows since January 11. Part of that has had to do with the rebalancing of allocations away from less efficient bitcoin holding vehicles to more efficient ones like ETFs – as well as the rotation away from higher fee products in some jurisdictions to the lower fee products in the US. That said, we still have an incomplete picture of all the market dynamics currently at play, including the full extent of displaced ETF flows from various liquidation proceedings.

Meanwhile, the Federal Reserve meeting on January 30-31 will be the most important macro event to watch next week with the board in a black out period until then. Recent US economic data seems to be affirming the soft landing scenario that markets have mostly priced in, but it's unclear how this will affect the Fed's policy stance, particularly with regards to the likelihood of cuts in March and the tapering of its quantitative tightening program.

Finally, we recently published a report on the [Effects of Legacy Reserve Balances on Token Supply](#) diving into how persistent native token demand as “gas” plays a role in tokenomics beyond the native emission and burn schedules. We investigate how this has materialized for Bitcoin and Ethereum as well as how its role may become increasingly important for low transaction fee chains in the future.

[Read full report](#)

Best,
The Coinbase Institutional Team

Weekly Market Call

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